Zepto New Feature Product Requirement Document

This document discusses the issues with the current features of Zepto and suggests alternatives to increase the stickiness of the platform. The features discussed here are based on the psychological behavior of people using Zepto and nudging them to integrate using Zepto as a 'Daily Habit' in their daily lives.
This solves the fundamental pain points of the Quick Delivery space: Increasing the **Average Order Value(AOV)** vis-à-vis revenue generation and fostering customer loyalty to sustain growth and profitability.

Team	Names
Product Manager:	
Developers:	[Names]
Designers:	[Names]
QA:	[Names]
Community Managers:	[Names]

Status: In development
Launching on: [Date]
Resources:

Problem Definition:

Zepto has recently introduced a new feature where it adds 'Rs. X' to the user's wallets to give them a nudge to open the app and place an order. The primary goal behind this is to incentivize users to make a purchase. It also motivates users to buy more items from the store now that they have extra money added to their wallets. This increases the AOV, engagement, and active users. For the scope of this document, we want to suggest more alternatives to the above feature.

Note: As seen below from the screenshots, many users need help receiving the cash amount in their wallets after receiving the notification that the amount has been credited to their accounts. This was the most highlighted issue on the Play Store review page(1000+ reviews analyzed). This is bad PR for the brand and deteriorates customer trust, making it the need of the hour to solve this issue.

Goals:

1. Inculcate Zepto as a 'Daily Habit' in the lives of users
2. Increase Average Order Value
3. Drive Repeat Purchases
4. Increase Average Revenue Per User
5. Increase Average Session Time

Metrics:
North Star Metric: Customer Lifetime Value (CLTV)
(Criteria: North Star metric leads to revenue, reflects customer value, and measures progress.)

1. Daily Active Users
2. Session Frequency - How often users are opening the app
3. Retention Rate (D7, D30)
4. Average Order Value
5. Stickiness (DAU/MAU)
6. Average Revenue Per User
7. % of adopters of new features as a function of DAU or MAU

Validation of the problem:

- Analyze Play Store reviews. Users are facing issues with cash amounts being credited to their wallets.
- Assess if the current nudges are increasing engagement, AOV, or DAU.
- 1:1 interviews to find how likely users are to open the app after they receive the notification.
- Analyze the average time users take to perform a CTA (Place Order) after receiving the notification. Also, the same analysis for AOV should be performed before and after receiving the notification.
- Utilization Rate - No. of users who successfully received the credit vs. those who have utilized it.
- A/B testing new features vs. Old features to compare effectiveness

Understanding the target audience:

Dividing the whole user base into 3 major nuances:

1. **Frequent Users:** Higher AOV and engagement, Quick and Hassle-free checkout, Appreciate early offers, exclusive deals, and monthly/yearly subscriptions.
2. **Moderate Users:** Moderate AOV and engagement, Looking for good deals/discounts/incentives, Sensitive to issues(can switch platforms).
3. **New Users:** Low spending and engagement, reliability and quality sensitive, motivated by initial offers, and sensitive to early/new user offers.

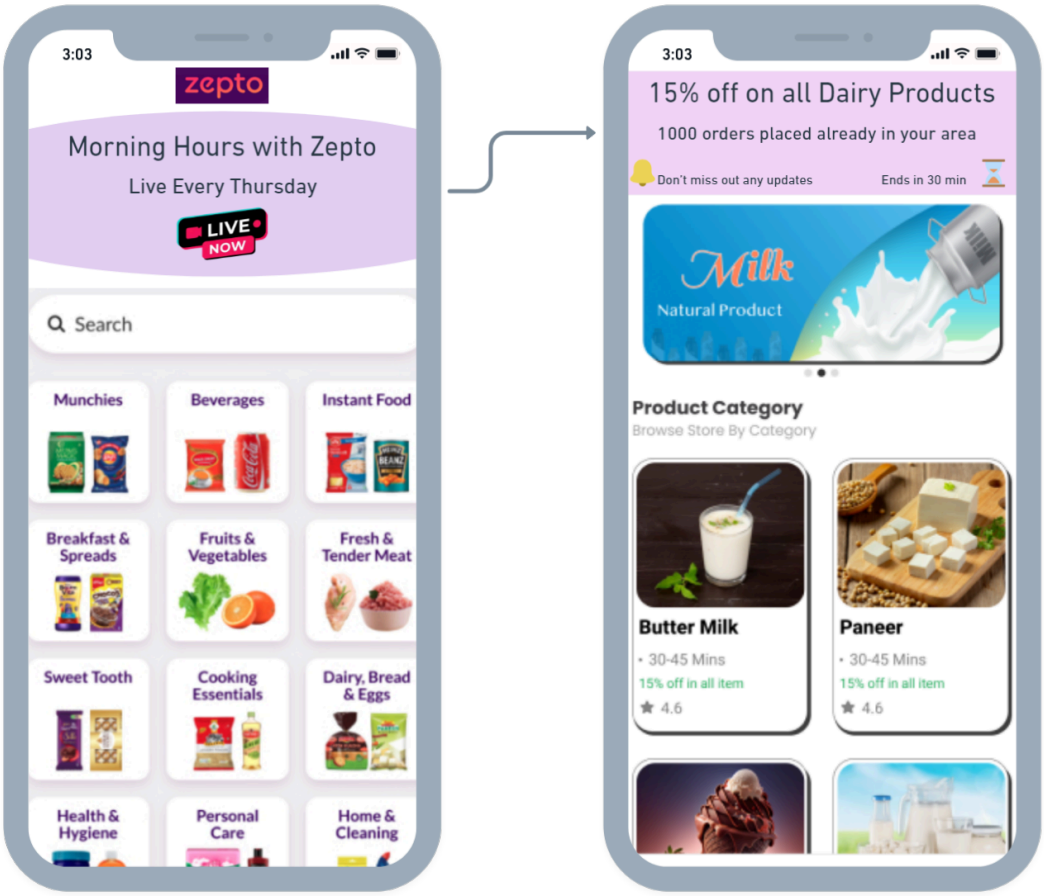
Solution:

The proposed solutions in brief:

- **Morning Hours with Zepto:**

  Introducing ‘Morning Hours with Zepto’ to make purchasing from Zepto a habit in users' daily lives. It will be organized on Thursdays every two weeks. Most people buy Dairy products, groceries, fruits, vegetables, etc. in the morning. Enter Morning Hours, which usually lasts for 30 minutes to 1 hour, offering a 10% discount/Free Delivery/Rs. X cashback or any relevant incentive to allow users to place maximum orders during this time. Users can benefit from incentives and fresh produce in the morning, resulting in a better customer experience. This inculcates a habit in the users to order from the app every Thursday morning. Preliminary Data analysis should be done to identify the

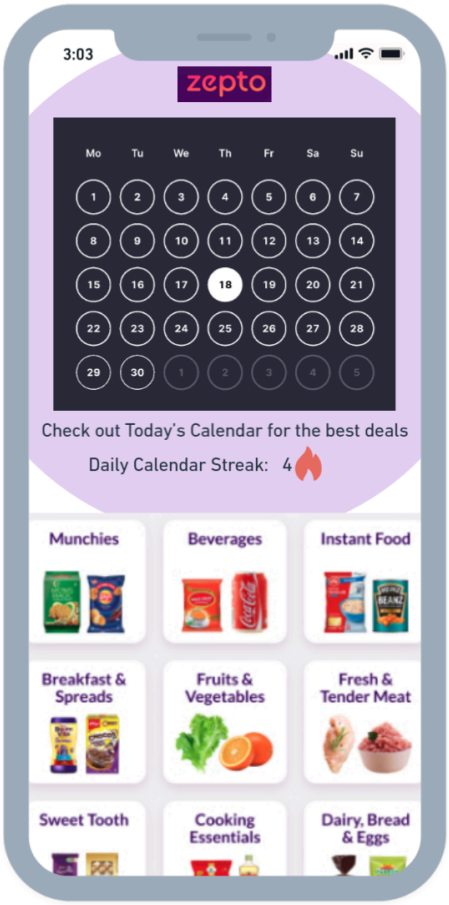
busiest time interval and the most popular category throughout the day. Depending on these two factors, the offerings could be varied to ensure a better experience.



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- **Zepto Calendar:**

  Why not make users check the app every day when they wake up? Make it a daily habit just like 'Tear Away Calendars'. The Zepto Calendar is an interactive way of showcasing new categories, daily deals, discounts, and offers. It creates a sense of curiosity in the user's mind to check the Zepto app daily about today's offerings. The grid view of the calendar provides a brief description with a CTA ('buy now') for different categories. To create a sense of urgency, we can have a timer within which a deal is available. This can be accompanied by notifications every morning.





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- **Zepto Buzz:**

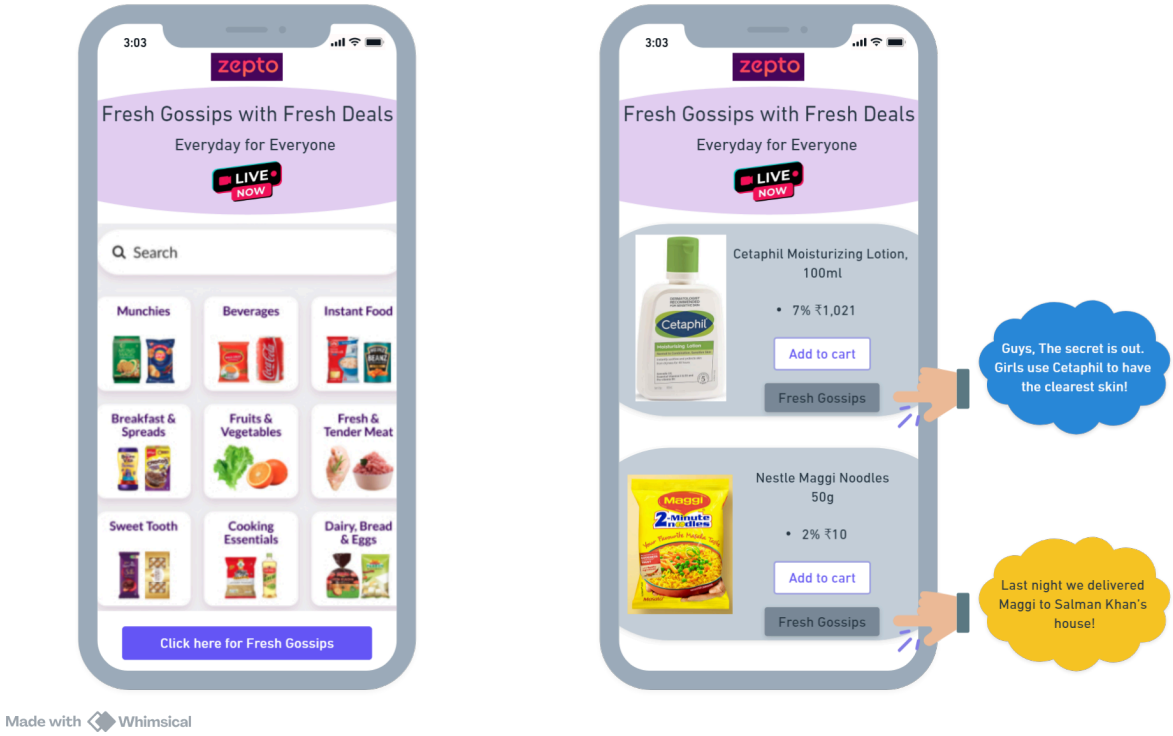
  Almost everyone is curious about gossip. It is a powerful tool that we can leverage to make people curious about opening the app. Gossip and Curiosity are the unsung heroes that are sometimes more powerful than discounts and cashback.

  Introducing Zepto Buzz, a social arm of Zepto that operates in a multifold fashion. This can work in three ways: With the help of Users, Zepto Content Team, and Anonymously.

  Allow users to share their experiences of a purchase anonymously. For Example: ‘Guys, The secret is out. Girls use Cetaphil to have the clearest skin!’.

Curate in-house content that can be shared on the app. It could be anything ranging from the startup story(BTS) to content about sellers. For example: ‘Amul is the largest distributor of Dairy Products!’ or ‘This feature was implemented as a result of cold email !’ or ‘Last night we delivered Maggi to Salman Khan’s house!’.

This feature allows Zepto to increase engagement, build a community, help product discovery, and promote brand awareness in the users' minds.



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GTM Strategy:

- Data Analysis - Preliminary Data analysis to identify trending categories, favorite products, discounts, and offers, cut by day, geography, time of the day, etc. This helps us find the most optimal offers, products, and discounts for users to maximize AOV.
- Organize multiple A/B sessions to help understand user behavior when interacting with the above features.
- Establish proper feedback channels to incorporate constructive feedback from A/B tests, surveys, etc., into the designs.
- All hands on deck from the Content Team to brainstorm, write, and design relevant content, flows, etc., for the above features.

- This would initially be launched as a pilot project in 1 city, where we are getting the most power users.
- Collaborate with relevant stakeholders(sellers, companies, etc.) to design relevant content for the app.

Launch Readiness:

Design complete: [Date]

Development complete: [Date]

QA timelines: [Date]

Beta Rollout & Bugs Resolution: [Date]

Full Rollout: [Date]

Launch Checklist:

- Internal Stakeholders: Notify the development, design, QA, and support teams about the upcoming feature launch.
- Product Marketing: Rollout communication, billboards, ads, etc., to make people aware of the new features to be launched.
- Support: Ensure the support team is trained to handle any queries related to the new feature.
- Operations: Confirm that the infrastructure is ready to support increased user activity. This includes delivery partners, sellers, and other stakeholders.
- Communication Plan: Prepare announcements and user guides to inform users about new features.

Future iterations:

- Intelligent recommendation systems to help match user preferences with offers suggested by calendars and morning hours.
- Enhance the moderation system to prevent misuse of the platform with the community feature.
- Enhance Fellow Data Analytics by tracking more metrics to improve engagement.

Risks & Mitigations:

- Low Adoption: Prioritize user feedback and analyze the journey funnel to find culprit checkpoints.
- Data Storage Concerns: Ensure compliance with relevant data protection regulations such as GDPR or CCPA and provide transparent information to users about how their data is collected, stored, and used within the platform.
- Cannibalization: Zepto Buzz should be a separate feature that should not interfere with the existing checkout flow.
- Actively compare KPIs of wallet features vs new features to check the success of the deployments.